

PROJECT REVIEW REPORT

Project ID	1477
Project Name	Katingan Peatland Restoration and Conservation Project
Program(s)	VCS
Verification Period	01 January 2020 – 31 December 2020
Project Proponent	PT. Rimba Makmur Utama
Methodology	VM0007
Sectoral Scope(s)	AFOLU (14) - REDD+, WRC, ARR
Validation/Verification Body (VVB)	Aster Global Environmental Solutions, Inc.

Assessment Criteria	VCS Standard, v4.1
Date of First Issue	24 February 2022
Date of Final Issue	22 March 2022

Summary:

An accuracy review of the Katingan Peatland Restoration and Conservation Project VCS verification approval request has been conducted by Verra in accordance with Section 4.3 of the *Registration and Issuance Process*, v4.0.

The review has raised two assessment findings and no minor findings, detailed below. The VVB, in coordination with the project proponent, is hereby required to provide a response to the assessment findings presented in Section 1. The two assessment findings must be addressed to the satisfaction of Verra.

This project review report will be made publicly available. Confidential information may be provided as separate attachments.

1. ASSESSMENT FINDINGS

Finding 1

Section 3.17.3 of the *VCS Standard v4.1* states that methodology deviations shall be permitted at validation or verification and their consequences shall be reported in the validation or verification report, as applicable, and all subsequent verification reports.

Section 2.1.2 of the monitoring report and Section 3.2 of the verification report state that there are no methodology or PD deviations for this period. However, deviations have been reported in the previous verification periods which must be reported in all subsequent verification reports.

The project proponent is requested to describe and report deviations from the previous verification periods in Section 2.1.2 of the monitoring report.

The VVB is requested to assess the information and updated Section 3.2 of the verification report accordingly.

VVB Response:

Thank you for the accuracy assessment finding. The VVB requested an updated MR from the Project Proponent in which all deviations are reported. The VVB reviewed the deviations and confirmed that the inclusion was of the deviations accurate. Furthermore, the VVB confirmed that the deviations were described and justified in line with the *VCS Standard v4.1*. The VVB has updated the Verification Report to reflect the additional review of the PD Deviations.

Verra Response:

Section 2.1.2 of the monitoring report and Section 3.2 of the verification report were updated to include the previous project description deviations.

No further action is required.

Finding 2

The recently signed Presidential Decree, The Economic Value of Carbon, includes “Implementation of Carbon Economic Value for The Achievement of The Target National Determined Contributions and Greenhouse Gas Emissions Inventory in National Development:

Chapter 48, Clause 3a: Where carbon trading that happens nationally or internationally must be registered under the SRN PPI (National Registry System)

Chapter 54, Clause 7: Carbon trading that occurs in a marketplace must be conducted in the Indonesian marketplace.

Section 2.4 of the monitoring report does not list the above presidential decree and Sections 1.9 or 1.10 do not state if the project is registered under the SRN PPI. Similarly, Section 3.1 of the verification report states the project is not registered with any other GHG program.

The project proponent is requested to clarify if the project adheres to Clauses 3a and 7 of the presidential decree, The Economic Value of Carbon, described above.

The VVB is requested to assess the evidence that demonstrates accordance with the presidential decree accordingly.

VVB Response:

We have conducted a preliminary review of this law and it appears that this Presidential Decree came into effect on October 29, 2021, which is outside the monitoring period for this verification (01 January 2019 - 31 December 2019). The audit team discussed this new law via email with the project and their assessment closely aligns with our independent assessment of this law. As a result, the VVB is issuing a Forward Action Request (FAR) related to regulatory compliance criteria within the VCS Standard, specifically with respect to the Presidential Decree issue on 29 October 2021 (Presidential Regulation No.98 of 2021). This is new law that could potentially affect the project; however, after a review of the current status of the law and associated regulations the VVB has determined that currently there has been no implementing regulations confirmed by the Indonesian government. Without the implementing regulations, it is unclear how this law will be implemented and who the parties affected will be. The VVB is requesting that future verifiers confirm that the project has complied with this law.

Verra Response:

The project proponent clearly documents adherence to the Presidential Decree, The Economic Value of Carbon. After a review of the law, the VVB concludes the project is in compliance.

No further action is required.

2. MINOR FINDINGS

No minor findings were raised.

3. ASSESSMENT CONCLUSION

On 23 February 2022, Verra concluded the review of the VCS verification approval request for the project Katingan Peatland Restoration and Conservation Project and raised the two assessment findings detailed above. The project review report was sent to the VVB, Aster Global Environmental Solutions Inc., on 24 February 2022.

On 22 March 2022, Verra closed all findings for the sixth verification request for the Katingan Peatland Restoration and Conservation Project. No further action is required.